

ECONOMICS PAPER 2
(Mock Test 36)
Question-Answer Book

Time allowed: 1 hour 55 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13 and 15.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

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Candidate Number									
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Question No.	Marks
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Total	

Section A (34 marks)

1. Suppose the government launches a new policy to provide a living allowance to all unemployed people. Explain whether the policy can enhance equity. (3 marks)

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page, typical of notebook or legal stationery. There are no margins, text, or other markings on the paper.

2. Hong Kong's public road network is developed and maintained by the Highways Department.
- (a) State **TWO** advantages of Hong Kong's public road network being supplied by a government department instead of a private enterprise. (2 marks)
- (b) Explain to which type of factor of production the Director of Highways (路政署署長) belongs. (2 marks)

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3. A fitness centre chain in Hong Kong has announced plans to open more branches in various districts.

- (a) Give **ONE** reason to explain why the opening of more branches by the fitness centre chain might result in a decrease in its average cost. (2 marks)
- (b) The fitness centre chain hired a British fitness trainer for 6 months. The fitness trainer returned to the United Kingdom afterwards. Explain why the salary received by the fitness trainer is not included in the calculation of Hong Kong's gross national income (GNI). (2 marks)
- (c) There are several fitness centre chains in Hong Kong. Give **ONE** reason to explain why the market of fitness centres in Hong Kong is not perfectly competitive. (2 marks)

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4. In August 2024, an earthquake occurred in Japan. Some tourists who had originally planned to travel there decided to cancel their trips and apply for refunds for their hotel reservations due to concerns about aftershocks. As a result, some hotels that were originally fully booked ended up having vacant rooms.

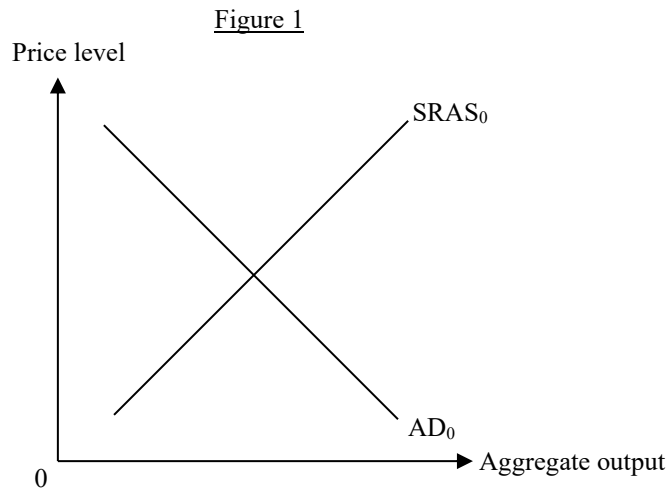
Assume that the hotels do not adjust the price of their rooms. With the aid of a supply-demand diagram, explain the change in total revenue of the hotels. (5 marks)

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5. Figure 1 shows the short run aggregate supply (SRAS) curve and aggregate demand (AD) curve for an economy.



- (a) Suppose the economy has a deflationary (output) gap. What is a deflationary (output) gap? Show the gap in Figure 1. (2 marks)
- (b) Suppose the government reduces the production subsidies provided to firms. With the aid of Figure 1, explain whether the above deflationary (output) gap will be widened or narrowed. (5 marks)

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6. The table below shows the balance sheet of the banking system of an economy. Suppose the banks hold \$250 million in excess reserves and the public always hold \$200 million in cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	1,000	Deposits	3,000
Loans	2,000		

- (a) Calculate the required reserve ratio of the banking system. (1 mark)

To acquire an overseas enterprise, a company in the economy withdraws \$400 million from the banking system and remits the amount overseas to pay for the acquisition.

- (b) (i) Suppose the banks lend out all excess reserves. Calculate the monetary base and money supply of the economy. Show your workings. (4 marks)
- (ii) Which **TWO** functions of money does the currency of the economy perform in the above case? Explain. (4 marks)

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END OF SECTION A

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Section B (46 marks)

7. Climate change has led to huge disasters that hit people all over the world. To encourage the development of renewable energy, some environmental groups suggest converting agricultural land into solar farms. The following are some views on the proposal:

The representative of an environmental group:	Converting agricultural land into solar farms can help reduce reliance on fossil fuels, thereby reducing carbon emissions and helping alleviate climate change problems.
A government official:	If more agricultural land is converted into solar farms, the consumer surplus in the market of crops will be affected.

- (a) Explain whether the statement of the representative of an environmental group is a positive statement or a normative statement. (2 marks)
- (b) Refer to the view of the government official. With the aid of a supply-demand diagram, explain the change in the consumer surplus in the market of crops. (5 marks)

Suppose the government provides a per-unit subsidy to agricultural landowners who convert agricultural land into solar farms. The amount of subsidy is calculated based on the number of solar power panels put into operation.

- (c) Refer to the view of the representative of an environmental group. In terms of externality, explain how the subsidy could improve economic efficiency. (4 marks)

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8. To boost the birth rate, the South Korean government increased the amount of cash subsidies provided to families with babies aged under two years old in 2024.
- (a) Explain whether the cash subsidies are included in the calculation of South Korea's government consumption expenditure in 2024. (2 marks)
- (b) An economics student stated, 'The provision of these cash subsidies may lower the general price level in South Korea after 20 years.' With the aid of an AS-AD diagram, explain under what condition the student's statement would be correct. (7 marks)
- (c) To encourage childbirth, the South Korean government also announced a new scheme that allows Filipino domestic workers to work in South Korea. Explain how this scheme will affect the price elasticity of demand for local domestic workers in South Korea. (3 marks)

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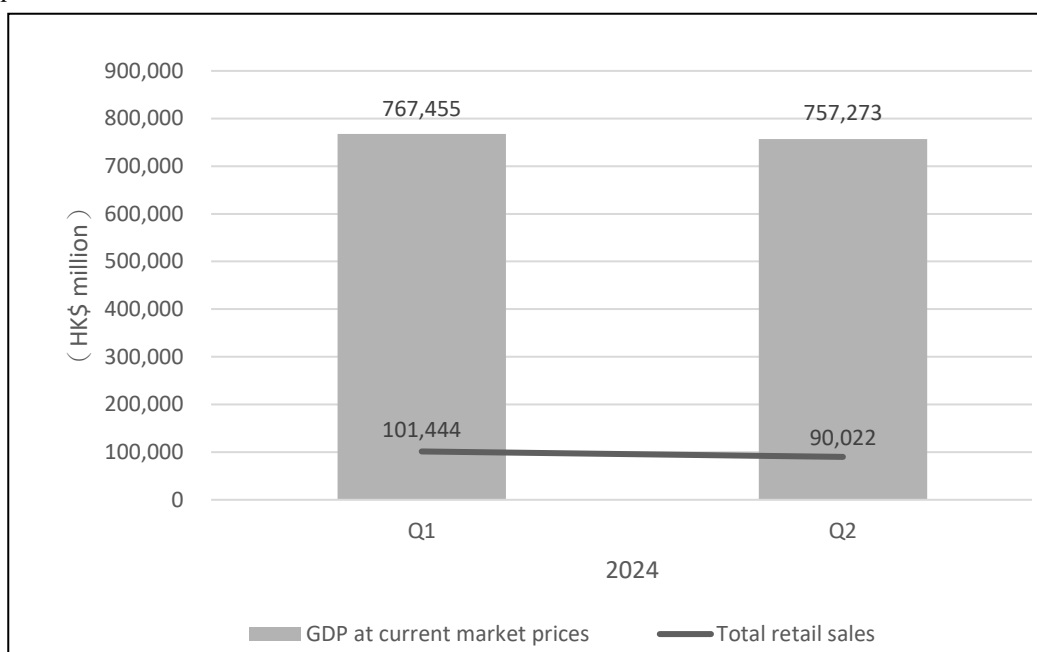
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9. In 2024, many businesses said that Hong Kong's retail market was weak, which raised public concerns.

Source A: Data on Hong Kong's gross domestic product (GDP) and total retail sales in the first and second quarters of 2024



(Source: Census and Statistics Department, HKSAR Government)

Source B: News extract about Hong Kong's retail industry

The weak retail market has led to a decrease in both the rent and prices of some shop premises in Hong Kong's commercial districts. An owner said that the value of his premises has significantly declined compared to last year.

Source C: Some views on Hong Kong's retail industry

 A commentator	The downturn in Hong Kong's retail market is due to prices of the same products being higher in Hong Kong than in nearby regions, causing people to travel to those regions for shopping.
 A local retail store owner	Many store owners have signed rental contracts. As the cost of breaking these contracts is high, store owners may choose to continue operating to minimise losses even in a weak retail market.
 A person who would like to open a store	Some shop premises remain vacant in the market at the current level of rent. I would only consider opening a store if the rent of the shop premises were lowered.

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- (a) Refer to Source A. Describe and explain whether the importance of Hong Kong's retail industry relative to the GDP of Hong Kong increased or decreased in the first half of 2024. (2 marks)
- (b) State **ONE** reason to explain why the contribution of Hong Kong's retail industry to Hong Kong's GDP at current market prices in the second quarter of 2024 may be less than HK\$90,022 million. (2 marks)
- (c) Refer to Source B. Explain how the change in the value of the premises will affect Hong Kong's aggregate demand. (2 marks)
- (d) With reference to the view of the commentator in Source C, explain why the opportunity cost for Hong Kong residents of buying goods in nearby regions may not be lower than that of buying the same goods in Hong Kong. (3 marks)

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (e) Suppose there are two proposals to boost Hong Kong's retail market.

Proposal I	to distribute to all residents consumption vouchers which can only be used in retail stores in Hong Kong
Proposal II	to provide a rent subsidy to retail stores in Hong Kong

With reference to the above sources and your own knowledge in Economics, discuss the effects of the above two proposals on Hong Kong, including:

- profit-maximising output of local retail stores
- income distribution
- general price level

(For simplicity, assume the retail sales market in Hong Kong is perfectly competitive.)

(14 marks)

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